Supply Chain Operations Report

Supply Chain Operations Report - Q2 2026 Executive Summary Supply chain operations experienced multiple disruptions during Q2 2026, particularly within western distribution networks. Transportation delays, vendor response issues, and inventory replenishment bottlenecks impacted overall fulfillment efficiency. Regional warehouse utilization reached near-capacity levels during peak seasonal demand periods. Logistics cost inflation also contributed to increased operational spending across multiple business units. Operational Challenges Key operational risks identified during internal audits included: - delayed supplier response times - warehouse capacity limitations - inaccurate demand forecasting - transportation disruptions - inefficient inventory allocation Western distribution centers experienced significant delays due to transportation bottlenecks and inventory shortages. Several logistics vendors failed to maintain delivery SLAs during peak demand cycles. Inventory Management Forecasting inaccuracies caused stock shortages for high-demand products. Inventory replenishment cycles were slower than expected due to delayed supplier shipments. Supply chain managers identified several improvement opportunities: - implementing predictive demand forecasting - increasing safety stock for critical products - improving warehouse automation - optimizing regional inventory allocation Logistics Performance Transportation costs increased by approximately 11% compared to the previous quarter. Cross-regional delivery timelines were affected by vendor staffing shortages and fuel price volatility. Operational KPIs indicated: - increased average delivery time - reduced order fulfillment efficiency - higher logistics spending - increased inventory holding costs Strategic Recommendations Recommended initiatives include: - diversifying logistics vendors - increasing regional warehouse capacity - implementing predictive analytics - improving supplier coordination - automating inventory planning workflows Conclusion Strengthening supply chain resilience and improving forecasting accuracy will be critical for restoring operational stability and improving regional business performance.

Supply Chain Operations Report - Q2 2026 Executive Summary Supply chain operations experienced multiple disruptions during Q2 2026, particularly within western distribution networks. Transportation delays, vendor response issues, and inventory replenishment bottlenecks impacted overall fulfillment efficiency. Regional warehouse utilization reached near-capacity levels during peak seasonal demand periods. Logistics cost inflation also contributed to increased operational spending across multiple business units. Operational Challenges Key operational risks identified during internal audits included: - delayed supplier response times - warehouse capacity limitations - inaccurate demand forecasting - transportation disruptions - inefficient inventory allocation Western distribution centers experienced significant delays due to transportation bottlenecks and inventory shortages. Several logistics vendors failed to maintain delivery SLAs during peak demand cycles. Inventory Management Forecasting inaccuracies caused stock shortages for high-demand products. Inventory replenishment cycles were slower than expected due to delayed supplier shipments. Supply chain managers identified several improvement opportunities: - implementing predictive demand forecasting - increasing safety stock for critical products - improving warehouse automation - optimizing regional inventory allocation Logistics Performance Transportation costs increased by approximately 11% compared to the previous quarter. Cross-regional delivery timelines were affected by vendor staffing shortages and fuel price volatility. Operational KPIs indicated: - increased average delivery time - reduced order fulfillment efficiency - higher logistics spending - increased inventory holding costs Strategic Recommendations Recommended initiatives include: - diversifying logistics vendors - increasing regional warehouse capacity - implementing predictive analytics - improving supplier coordination - automating inventory planning workflows Conclusion Strengthening supply chain resilience and improving forecasting accuracy will be critical for restoring operational stability and improving regional business performance.

Supply Chain Operations Report - Q2 2026 Executive Summary Supply chain operations experienced multiple disruptions during Q2 2026, particularly within western distribution networks. Transportation

delays, vendor response issues, and inventory replenishment bottlenecks impacted overall fulfillment efficiency. Regional warehouse utilization reached near-capacity levels during peak seasonal demand periods. Logistics cost inflation also contributed to increased operational spending across multiple business units. Operational Challenges Key operational risks identified during internal audits included: - delayed supplier response times - warehouse capacity limitations - inaccurate demand forecasting - transportation disruptions - inefficient inventory allocation Western distribution centers experienced significant delays due to transportation bottlenecks and inventory shortages. Several logistics vendors failed to maintain delivery SLAs during peak demand cycles. Inventory Management Forecasting inaccuracies caused stock shortages for high-demand products. Inventory replenishment cycles were slower than expected due to delayed supplier shipments. Supply chain managers identified several improvement opportunities: - implementing predictive demand forecasting - increasing safety stock for critical products - improving warehouse automation - optimizing regional inventory allocation Logistics Performance Transportation costs increased by approximately 11% compared to the previous quarter. Cross-regional delivery timelines were affected by vendor staffing shortages and fuel price volatility. Operational KPIs indicated: - increased average delivery time - reduced order fulfillment efficiency - higher logistics spending - increased inventory holding costs Strategic Recommendations Recommended initiatives include: - diversifying logistics vendors - increasing regional warehouse capacity - implementing predictive analytics - improving supplier coordination - automating inventory planning workflows Conclusion Strengthening supply chain resilience and improving forecasting accuracy will be critical for restoring operational stability and improving regional business performance.